Wattlebird Bank

Customer Insights Team

Rewards Cardholder Sentiment: May 2026 Pulse

n = 2,400 active rewards cardholders | Online panel, 12-18 May 2026

Key Findings

1. Points earn rate drives retention
68% of respondents ranked 'points earned per dollar' as their #1 reason for holding the card. Annual fee waiver ranked #2 (31%), travel insurance #3 (27%), and lounge access #4 (19%).

2. Awareness of RBA changes is low but rising
Only 22% of respondents were aware that interchange fee changes could affect their rewards. However, 58% said they would 'definitely reconsider' their card if earn rates dropped by more than 20%. Among high-value cardholders ($3,000+/month spend), this figure rose to 71%.

3. Non-points benefits have latent appeal
When presented with a hypothetical 20% earn-rate reduction paired with new benefits, respondents were most receptive to:

- Dining and entertainment offers / discounts (54% 'very interested')
- Extended warranty / purchase protection (48%)
- Priority access to concert and event tickets (39%)
- Wellness benefits - gym discounts, telehealth (33%)
- Airport lounge access upgrade (29% - but 72% among frequent travellers)

4. Fee sensitivity varies by tier
Platinum holders: 44% would accept a $50 annual fee increase if benefits were 'meaningfully enhanced'. Black holders: 61% would accept up to $80 increase for premium experiential benefits. Frequent Flyer co-brand: only 18% would accept any fee increase - this segment is highly points-elastic.

5. Communication tone matters
In message testing, framing the change as 'enhancing your card benefits' scored 3.8x higher on positive sentiment than 'adjusting the rewards program due to regulatory changes'. Customers respond to gain-framing, not loss-framing.

Recommendations for Strategy Team

- Do not lead communications with earn-rate reduction - lead with what's being added
- Dining/entertainment offers are the strongest non-points lever - explore merchant partnerships
- Consider a 'Founder' lock-in: existing cardholders keep current earn rate for 12 months as a loyalty gesture
- Frequent Flyer co-brand requires separate strategy - points elasticity is too high for a fee-led approach